

SYSTEM REQUIREMENTS DOCUMENT

University Procurement Management System

Governing Framework: Government Procurement Guidelines & Procurement Manual (Revised 2024)

1. Project Objective

To develop a web-based system that automates and digitizes the university procurement process for goods, from initial requisition to final payment, ensuring full compliance with the Government Procurement Guidelines (Revised 2024).

2. Functional Workflow

2.1 Initial Requisition & Planning (The Tender File)

User Action: A Head of Department (HOD) creates a Purchase Requisition

Data Required:

- Item specifications (brand names are prohibited)
- Estimated value of procurement
- Funding source

System Logic:

- System must verify fund availability with the Bursar's office before proceeding
- Document generation: System must support attachment of SD 1 (Consumable) or SD 2 (Capital) forms

2.2 Selection of Procurement Method

The system must support two procurement methods based on estimated value:

National Shopping Method (Request for Quotations)

Threshold: Up to LKR 25 Million (Local Funds) or LKR 40 Million (Foreign Funds)

- Request sealed quotations from at least 3 registered suppliers
- Bidding period: typically 5 days

- Platform Note: System should integrate with or mimic the promise.lk interface for shopping method tenders

National Competitive Bidding (NCB)

Threshold: Higher value or complex requirements

- Invitation for Bids must be published in at least one National Newspaper (Sinhala/Tamil) and one English Newspaper
- Minimum bidding period: 21 days for submission

2.3 Bid Publication and Submission

- Supplier Management: Maintain a catalog of registered suppliers filtered by item category
- Document Issuing: Bidders must pay a non-refundable document fee (e.g., LKR 8,000 or LKR 12,500) to download bid documents
- Bid Bond: System must alert suppliers that a Bid Bond (Bank Guarantee) is required valid for 120 days and must be uploaded with the bid
- Submission: Bids are sealed and opened publicly (virtual or physical)

2.4 Bid Opening & Evaluation

Bid Opening:

- System must schedule a public virtual or physical opening
- Bids received after the deadline are automatically rejected

Evaluation Logic:

- Preliminary Examination: Check for Bid Bond, signatures, VAT registration
- Technical Evaluation: If value > LKR 500,000, a Technical Evaluation Committee (TEC) must be appointed by the Vice Chancellor
- Financial Evaluation: Comparison of commercial bids after technical compliance

2.5 Approval Matrix

The system must route the Bid Evaluation Summary Report based on the value of procurement:

Value of Procurement	Approval Authority	System Action
< LKR 500,000	Head of Department + Dean of Faculty	Route for digital signature
LKR 500,000 – Faculty Limit	TEC + Faculty Minor/Major Board	Route to TEC, then Faculty Board
Institutional Limit	Management Board	Routing for management review

Statutory Limit	University Board	Final statutory approval
> LKR 500,000 (High Value)	TEC (mandatory) → University Council	System Alert: High Value detected. TEC approval required.

2.6 Contract Award and Management

- Notification: System publishes award results to all bidders
- Purchase Order (PO): Generated automatically upon final approval
- Performance Bond: System tracks submission of Performance Bond by the winning bidder

2.7 Delivery, Quality, and Payment

- Goods Receipt: Storekeeper generates a Good Received Note (GRN)
- Quality Report: User department submits a Quality Report to release payment
- Payment: Finance Division processes payment only after Quality Report approval
- Constraint: System must flag payment delays to ensure supplier satisfaction

3. Key Business Rules & Constraints

Propriety Items: If only one supplier exists, the user must upload a Propriety Certificate justifying single-source purchase

Conflict of Interest: All committee members must sign a Declaration form digitally before evaluation begins

Time Limits: System must enforce minimum bid periods (NCB = 21 days minimum)

Tax Compliance: Bidders must declare their VAT/SSCL registration number; failure results in automatic rejection

4. System Actors

Internal Actors

- Requisitioner (Head of Department)
- Bursar
- Supplies Division Clerk
- TEC Member
- Tender Board Member
- Storekeeper

External Actors

- Supplier / Bidder

5. Manual Pain Points & System Solutions

The following table maps the known manual process pain points to the system solutions this project must deliver:

#	Manual Pain Point	System Solution
1	Losing hard copy documents during approval routing	Digital document management with full audit trail
2	Two-month delays in awarding bids (exchange rate risk)	Automated routing & deadline enforcement
3	Quotation requests sent to irrelevant suppliers	Category-based supplier filtering system
4	Poor supplier satisfaction due to payment delays	Payment delay flagging and SLA tracking

6. External Integrations

promise.lk: The government e-procurement portal. The system must push relevant tender data to this portal as the government transitions to digitized procurement

Newspaper Publication Tracking: NCB tenders require tracking of mandatory newspaper advertisements (Sinhala/Tamil and English)

7. Next Steps & Recommendations

- Download the official Procurement Manual 2024 from the National Procurement Commission to validate exact LKR thresholds for each approval level
- Research the promise.lk integration API for direct data submission
- Confirm university-specific statute thresholds for Faculty Board vs. Management Board vs. University Board approval limits
- Design the database schema for: Suppliers, Tenders, Bids, Evaluation Reports, Approval Workflows, Purchase Orders, GRNs